

What Hurricanes and Travel Have Taught Me

Early Tuesday morning, Kauai woke up to a scene officials described as "like a war zone.

Hurricane Lowell had swept past the island overnight with fierce winds, heavy rain, and coastal surge. By sunrise, about 90% of homes and businesses were without power, roads were buried in sand and debris, and entire neighborhoods were coated in mud.

So here's my situation: I am supposed to be travelling to Kauai next week for my cousin's wedding. She has been planning this event for two years. My extended family has been excited to fly out, spend time together, and celebrate a milestone that has been on everyone's calendar for a long time.

Now we are only a week away from leaving Calgary, and the devastation has hit.

I have travelled all over the world. I have been to Hawaii many times. There has been rain, of course, but the weather has always seemed fantastic. The trips have been relaxing. The flights have arrived. The accommodations were there when we checked in.

After enough positive experiences, you start to believe that is how things work. We focus so much on the good that we forget bad things sometimes happen. I booked this vacation thinking about all the sunny beaches we'd sit on, not rainy days, let alone hurricanes.

Every time you book a flight or accommodation, there is usually a question asking whether you want to pay for insurance.

The decision often feels easy:

"Bad things have never happened before. Why would I need insurance?"

Many people approach investment risk the same way.

Markets have risen. Their portfolios have recovered. The S&P 500 has kept reaching higher highs. But a long stretch without a major problem is not proof that major problems have disappeared.

It may simply mean that the storm has not arrived yet.

A rising market tells you that prices are moving higher. It does not tell you whether your strategy is prepared for:

- A sharp market decline.
- A prolonged period of weak returns.

- A sudden loss of income.
- A major business or practice expense.
- A liquidity need at the wrong time.
- A concentrated position falling rapidly.
- A sequence of withdrawals during a downturn.

For those accumulating wealth, this matters even more.

A portfolio that looks comfortable in a strong market can feel very different when income falls and investments decline at the same time.

The goal is not to eliminate every risk. That is impossible.

The goal is to decide which risks you can accept, which risks you can reduce, and which risks you need to insure against.

But feeling protected has a cost.

Travel insurance is one of those things that can feel like lighting money on fire.

You book the flight. You book the hotel. You see the extra charge at checkout.

Then you think: ***I have travelled plenty of times. Nothing bad has happened. Why would I pay for something I will probably never use?***

That thinking is understandable.

In fact, it is exactly why insurance is difficult to buy. You pay a premium hoping you never need to make a claim. On a great trip, it can feel like wasted money. On the trip where something goes wrong, it can feel like the smartest decision you made.

Investment portfolios deserve the same kind of thinking.

Not because we know a market decline is coming. We do not. But because the absence of a recent problem is not the same as the absence of risk.

The S&P 500 has historically finished most calendar years higher, which is one reason investors can become comfortable with the idea that the market goes up over time. But it has also experienced negative calendar years roughly one-quarter of the time. More importantly, markets can decline sharply well before the year-end return tells the full story.

When markets are moving higher, protection can feel unnecessary. It can even feel frustrating.

Many traditional ways of seeking downside protection involve a trade-off: you may pay an explicit cost and give up some potential upside.

For the past year, we have been speaking with clients about ways to build more thoughtful risk management into a portfolio.

This is not about trying to call the next correction. It is not about abandoning equities every time markets feel expensive. And it is not about promising that a portfolio will never decline.

It is about asking a more useful question:

Is there a way to participate in long-term market growth while being more deliberate about what happens if the weather changes?

Some investment approaches use options and other structured techniques to define potential outcomes over a set period. In simple terms, these strategies address how to remain invested while reducing exposure to certain market declines.

The important word is **designed**.

There are no free lunches in investing. Risk does not disappear. It changes shape.

With traditional insurance, you pay the premium yourself. You accept the recurring cost in exchange for the possibility of protection when something goes wrong.

With certain portfolio-risk-management approaches, the objective is to structure the strategy so the investor does not bear the cost of seeking protection in the same straightforward way.

In other words, rather than writing a visible cheque for protection, the structure may use market participants with different objectives and risk preferences to help create a defined risk-and-return profile.

That does **not** mean there is no cost.

Some strategies are designed to pursue market participation and manage downside risk without requiring the investor to purchase protection the way they would through a traditional, separately paid strategy.

For investors, that can be a worthwhile conversation.

The lesson from Kauai is not that you should expect disaster around every corner.

It is that you should not mistake a long period of good weather for a guarantee that bad weather cannot happen.

My family is still hoping my cousin's wedding can happen as planned. But this week has reminded me that even carefully planned events can be disrupted by forces outside your control.

That is true for travel.

It is true for business.

It is true for life.

And it is true for investing.

You cannot prevent every storm.

But you can make sure your financial plan is not caught outside when one arrives.

If you want market exposure but need to manage risk. Then let's talk.

No market forecasts. No product pitch. Just a clearer view of your plan.

[Book an intro call.](#)

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